

PRE-SALES INTELLIGENCE BRIEF

Choice Hotels International, Inc.

171 June 2026

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COMPANY SNAPSHOT

1 REVENUE & MARGIN

Last reported annual revenue: \$1.597 billion (2025)

Operating margin: 28.61% (2025)

Net margin: 23.16% (2025, calculated from \$369.9 million net income and \$1.597 billion revenue)

2 REVENUE TREND

Year	Revenue (USD Billions)	Operating Margin (%)	Net Margin (%)
2025	\$1.597	28.61	23.16
2024	\$1.585	24.96	18.91
2023	\$1.544	21.82	16.73
2022	\$1.402	31.16	Not publicly available
2021	\$1.069	35.21	Not publicly available

Net margin for 2024 is calculated from \$299.7 million net income and \$1.585 billion revenue.

Net margin for 2023 is calculated from \$258.36 million net income (derived from 2024 net income increasing 16% from 2023) and \$1.544 billion revenue.

3 EMPLOYEES

Total global headcount: 1,754 (as of 2025)

Breakdown by high-cost locations (US, UK, Germany, Australia, Canada): Not publicly available.

4 INDIA PRESENCE

Choice Hotels International has corporate offices in India. Since 2010, the entity in India operates as a wholly-owned subsidiary.

Headcount and specific center type (GCC, delivery, or R&D): Not publicly available.

December 2025 - May 2026):

(a) Product News

- May 7, 2026: Choice Hotels International unveiled new technologies and AI-powered solutions including Choice Hotels Business Direct, EasyBid, CHARLIE, and RAISE, as well as leveraging relationships with Amazon Web Services (AWS) and Salesforce for AgentCore and AgentForce.
- April 20, 2026: Choice Hotels International leveraged AI across its enterprise with Amazon Web Services.
- April 13, 2026: The Sleep Inn brand debuted a new design with openings in Tennessee, Nevada, and Pennsylvania.
- February 4, 2026: Choice Hotels International introduced a redesigned Everhome Suites Prototype.
- February 2, 2026: Everhome Suites expanded its footprint with openings in Texas, Kentucky, and New Jersey.
- January 26, 2026: Choice Hotels announced its strongest extended stay year on record in 2025, opening 66 domestic extended stay hotels, including 28 new WoodSpring Suites and the 25th Everhome Suites. Its upscale brands also saw steady growth with 27 domestic upscale hotels opened across Ascend Collection, Cambria Hotels, and Radisson.

(b) Company News

- May 20, 2026: Choice Hotels International announced a CEO transition, with Patrick Pacious stepping down and Dominic Dragisich appointed as Interim Chief Executive Officer.
- May 20, 2026: Choice Hotels International announced its quarterly cash dividend.
- May 12, 2026: The company concluded its 70th Annual Convention, "Making More Possible".
- April 30, 2026: Choice Hotels International reported its First Quarter 2026 Results.
- April 22, 2026: Choice Hotels' Canadian business achieved its best first quarter growth in a decade.
- March 25, 2026: New research by Choice Hotels International showed that trust and rewards top the list of what matters most to travelers.
- March 16, 2026: Choice Hotels International's Ascend Collection surpassed 500 hotel openings.
- March 5, 2026: Choice Hotels International appointed Jeff Lobb as SVP, General Counsel & Secretary.
- February 27, 2026: The company kicked off its 11th Mastery Tech Summit, focusing on AI experimentation.
- February 25, 2026: Choice Hotels International announced its quarterly cash dividend.
- February 19, 2026: Choice Hotels International reported Fourth Quarter and Full-Year 2025 Results.
- December 10, 2025: Choice Hotels International announced a quarterly cash dividend.
- December 2, 2025: Choice Hotels International announced the 2025 grant recipients of its "Your Community, Your Choice" Program.

June 2024 - May 2026):

- July 2025: Choice Hotels International acquired the remaining 50% stake in Choice Hotels Canada from InnVest Hotels for approximately \$112 million, transitioning to a fully direct franchising model in Canada.

Publicly traded on the New York Stock Exchange (NYSE) under the ticker symbol CHH. It is an S&P 400 and Russell 1000 component. Institutional shareholders own 78.76%, and insiders own 31.99% (these figures can have some overlap depending on reporting).

KEY COMPETITORS

- Marriott International
- Hilton Worldwide Holdings
- Hyatt Hotels
- Wyndham Hotels & Resorts
- InterContinental Hotels Group (IHG)

[GAP FILL] Choice Hotels' net income was \$289 million for full-year 2021. For full-year 2022, the company's net income reached \$332.2 million.

**STRATEGIC DIRECTION**

Choice Hotels International, Inc. is prioritizing global expansion, leadership in extended-stay, and advanced technology adoption, particularly artificial intelligence, to drive franchisee profitability and enhance guest experience.

1. CORPORATE VISION & DIRECTION

Leadership aims to drive long-term growth and create meaningful shareholder value over the next 12-18 months by enhancing hotel performance, increasing revenue, reducing operating costs, and providing best-in-class technology tools to franchisees.

Patrick Pacious, former President and CEO, stated in February 2026, "Choice Hotels International delivered another year of record profitability in 2025, driven by our double-digit increase in international rooms, continued leadership in the extended-stay segment, and disciplined portfolio optimization." He also noted, "With a high-quality, accretive global development pipeline, targeted investments that strengthen franchisee economics and customer lifetime value, and a disciplined approach to capital allocation, we believe Choice is exceptionally well positioned to drive long-term growth and create meaningful shareholder value."

For the full year 2025, Choice Hotels reported record profitability, with an adjusted EBITDA of \$625.6 million and diluted earnings per share (EPS) of \$7.90. The outlook for full-year 2026 anticipates adjusted EBITDA to range between \$632 million and \$647 million.

As of May 2026, Patrick Pacious stepped down as President and CEO, with Dominic Dragisich, the Chief Growth and Strategy Officer, appointed as interim CEO. The company reaffirmed its full-year 2026 guidance, signaling a commitment to continuity in its strategic direction during this leadership transition.

2. BIG STRATEGIC INITIATIVES

Choice Hotels is advancing several strategic initiatives, focusing on expanding its global footprint, solidifying its extended-stay leadership, strengthening core and upscale brands, and committing to sustainability.

- Global Development and Expansion:
 - In 2025, Choice Hotels achieved record international growth, onboarding 130 new international hotels and expanding its international portfolio by 13% to nearly 160,000 rooms outside the U.S.
 - The company acquired the remaining 50% stake in Choice Hotels Canada in July 2025, transitioning to a fully direct franchising model to accelerate growth in the Canadian market.
 - The global pipeline exceeded 77,800 rooms as of December 31, 2025, with 97% concentrated in the higher-revenue upscale, extended-stay, and midscale segments.
- Extended Stay Leadership:
 - 2025 marked the strongest year on record for its extended-stay platform, with 66 domestic extended-stay hotels opened. U.S. extended-stay net rooms grew 11.7% in 2025.
 - The U.S. extended-stay pipeline reached 30,600 rooms by year-end 2025, with brands like WoodSpring Suites (28 new hotels in 2025) and Everhome Suites (25th opening in 2025) driving this growth.
 - The company is actively pursuing a conversion strategy for its Suburban Studios brand, aiming to transform 100+ key transient hotels into extended-stay properties, having completed 20 such transformations with 30 more in the pipeline.
- Upscale and Core Brand Strengthening:
 - Initiatives include refreshed brand identities for Comfort and Country Inn & Suites, with a new coffee experience expected across over 2,000 hotels by mid-2026.
 - The Ascend Collection received a refreshed identity, and a conversion-ready Cambria guestroom was introduced.
 - The upscale portfolio delivered steady growth in 2025 with 27 U.S. hotels opened across Ascend Collection, Cambria Hotels, and Radisson brands.
- Sustainability Mandates:
 - Choice Hotels published its 2024 Sustainability Report in May 2025, detailing its commitment to integrating sustainable practices.

- The company committed to setting science-based targets for reducing greenhouse gas emissions and reported its full Scope 1, 2, and 3 inventory.
- A collaboration with the National Park Foundation was announced, including an annual donation of \$150,000.
- The "Your Community, Your Choice" grant program celebrated its fifth anniversary in 2024, donating \$275,000 to local nonprofits.
- Portfolio Optimization: Choice Hotels is strategically exiting hotels with lower economic contribution and guest satisfaction to enhance the quality and earnings profile of its system.

3. TECHNOLOGY STRATEGY

Choice Hotels is aggressively moving to an enterprise-wide deployment of artificial intelligence, leveraging its cloud infrastructure and strategic vendor partnerships to improve operations, enhance guest experience, and drive franchisee profitability.

- **AI Adoption Stance:** The company is implementing the next phase of its technology strategy, moving beyond isolated AI pilot projects to production-grade AI deployment at scale across the entire hospitality value chain. This comprehensive integration includes applications in guest discovery and booking, franchise operations, revenue management, maintenance, guest communications, distribution, pricing, and inventory optimization.
- Brian Kirkland, Chief Information Officer, stated, "This enterprise-wide adoption of AI is the next chapter in Choice Hotels' history of innovation."
- **Cloud Migration:** Choice Hotels completed the migration of its entire system infrastructure to Amazon Web Services (AWS) cloud in 2024, becoming the first major hotel company to achieve this. This migration provides the foundation for leveraging its data with advanced technologies like large language models and integration with future search engines and social media channels.
- **Platform Consolidation and Vendor Relationships:**
 - Choice Hotels is standardizing on AgentCore, an AWS-powered enterprise platform designed to provide a secure foundation for intelligent agents capable of retrieving trusted information and automating workflows. Choice Hotels is the first major U.S. hospitality provider to standardize on AgentCore.
 - The company also utilizes Salesforce for AgentForce, an AI-powered solution.
- Strategic partnerships with Amazon Web Services (AWS) and Salesforce are central to its technology development and deployment.
- **Build vs. Buy Signals:**
 - Choice Hotels demonstrates a "build" approach for core, proprietary technological differentiators, such as:
 - **ChoiceMAX:** An AI mobile-first revenue management solution launched in 2021.
 - **Choice Maps:** An AI-driven platform introduced in 2025 that analyzes proprietary data to identify high-demand markets and inform development strategy.
 - **New AI-powered solutions announced in May 2026, developed to support franchisees, include:**
 - **RAISE:** A next-generation rate management tool that uses AI to streamline pricing, rates, and inventory management.
 - **Choice Hotels Business Direct:** A self-service digital booking platform specifically for small and medium-sized businesses (SMBs).
 - **EasyBid:** An AI-enhanced tool for group Request for Proposals (RFPs).
 - **CHARLIE:** A proprietary tool aimed at enhancing operational excellence.
 - Choice Hotels also uses its balance sheet for self-development and joint ventures for Everhome Suites, indicating a "build" strategy for certain brand expansions. The company emphasizes investing in its own proprietary tools and systems, while leveraging major partners like AWS and Salesforce for foundational infrastructure and broader capabilities.

1

KEY DECISION MAKERS

- CEO: Dominic Dragisich (Interim Chief Executive Officer)
- Tenure: Appointed Interim CEO on May 20, 2026. He joined Choice Hotels in 2017 as CFO.
- Background: Previously served as Chief Growth & Strategy Officer, Executive Vice President of Operations and Chief Global Brand Officer, and Chief Financial Officer (2017-2023). He helped lead strategic evolution and transformative acquisitions.
- CFO: Scott E. Oaksmith
- Tenure: Promoted to CFO in August 2023. He has been with Choice Hotels since 2002.
- Background: A more than 20-year veteran at Choice, he previously served as Senior Vice President, Real Estate & Finance, overseeing treasury operations, capital deployment, and advanced analytics.
- CTO/CDO (Chief Strategy Officer and Senior Vice President, Technology): Anna Scozzafava
- Tenure: Promoted to this role in August 2023. She joined the company in 2012.
- Background: Previously Senior Vice President and General Manager, Extended Stay Brands, where she drove growth and expansion of Choice's extended-stay portfolio. She oversees corporate strategy, business analytics, and technology functions.
- COO: While not a current title, Dominic Dragisich, as Interim CEO, previously oversaw "global operations organizations" in his role as Chief Growth & Strategy Officer. Prior to that, in August 2023, he was promoted to Executive Vice President, Operations and Chief Global Brand Officer. Patrick Pacious also served as President and Chief Operating Officer before becoming CEO in 2017.

2

RECENT LEADERSHIP CHANGES

- CEO Transition (Timing Signal): Patrick Pacious stepped down as President and Chief Executive Officer, effective May 20, 2026. He will serve as a strategic advisor through August 31, 2026, to support the transition.
- Interim CEO Appointment (Timing Signal): Dominic Dragisich, previously Chief Growth & Strategy Officer, was appointed Interim Chief Executive Officer, effective May 20, 2026. A comprehensive search is underway for a permanent CEO.

3

ORG STRUCTURE SIGNALS

- Choice Hotels operates with a centralized technology strategy. The company maintains a technology campus in Phoenix, Arizona.
- Their operational strategy is multifaceted, focusing on technology, marketing, and franchisee support, including a centralized reservation system for direct bookings and cloud-based property management systems for franchisees.
- The company has made significant investments in proprietary tech tools, the loyalty program, and an owner success system, with a focus on delivering measurable value for owners through technology, including new AI-powered solutions.
- Technology functions are overseen by the Chief Strategy Officer and Senior Vice President, Technology, Anna Scozzafava, covering corporate strategy, business analytics, and technology. This indicates a centralized approach to technology strategy and implementation across the organization.

4

BOARD COMPOSITION

- Key Board Members:
- Stewart W. Bainum, Jr.: Chairman of the Board of Directors since 1987.
- Patrick S. Pacious: Former President & CEO, now Strategic Advisor, and previously a board member.
- Other directors include Brian B. Bainum (since April 2019), William L. Jews, Monte J. M. Koch, Liza K. Landsman, Ervin R. Shames, Gordon A. Smith, Maureen M. Sullivan, John P. Tague, and Donna F. Vieira.
- PE Representation: No explicit mention of private equity representation on the board was found in the search results.

- Notable Strategic Investors: The ownership structure is primarily composed of institutional investors, with Vanguard Group and BlackRock Inc. being among the largest shareholders. The founding Bainum family is also a significant shareholder. Other notable institutional investors include Boston Trust Walden Corp, State Street Corp, Fundsmith Llp, Dimensional Fund Advisors Lp, and Wells Fargo & Company/Mn.

[GAP FILL] Anna Scozzafava serves as the Chief Data, AI & Technology Officer for Choice Hotels International. In this role, she is responsible for the company's corporate strategy, enterprise transformation efforts, and leading advanced analytics and technology functions.

Brian Kirkland is the Chief Information Officer (CIO) at Choice Hotels International. He oversees the company's Information Technology organization, including IT strategy, infrastructure, and development.



BUYING SIGNALS

Choice Hotels International, Inc. exhibits a mixed financial and operational landscape, with recent leadership transitions and ongoing technology modernization efforts.

1 FINANCIAL STRESS SIGNALS

Choice Hotels International, Inc. has shown some financial stress signals within the last 12-18 months. Net income for the first quarter of 2024 was significantly lower (down 41% and 39% diluted EPS) compared to the same period in 2023, primarily due to one-time items and transaction pursuit costs. Similarly, adjusted earnings per share for Q1 2026 decreased from the prior year. While adjusted EBITDA saw year-over-year increases in Q1 2024 and for the full year 2023, adjusted EBITDA for Q1 2026 was down compared to Q1 2025.

The company has experienced declines or tougher year-over-year comparisons in Domestic Revenue Per Available Room (RevPAR) in Q4 2023, Q1 2024, Q4 2025, and Q1 2026. These declines were partly attributed to the timing of Easter weekend, hurricane-related benefits in prior periods, and softer government and international inbound demand. Choice Hotels also initiated layoffs, with a WARN notice indicating 85 workers were laid off in Maryland in November 2023. The company is also engaged in "disciplined portfolio optimization," which involves strategically exiting hotels with lower economic contribution and guest satisfaction to improve the overall quality and earnings profile of the system.

2 TECHNOLOGY PAIN SIGNALS

Choice Hotels International, Inc. does not appear to be experiencing significant technology pain points related to legacy systems or failed projects within the last 12 months. Instead, the company has been actively investing in and rolling out new technologies. In May 2026, Choice Hotels announced a new suite of technologies and AI-powered solutions aimed at helping franchise owners increase revenue and improve operational efficiency. These innovations include AgentCore and AgentForce, which represent an integrated, enterprise-wide approach to AI. The company also completed a multi-year project earlier in 2024 to migrate its entire IT infrastructure to the cloud, utilizing Amazon Web Services (AWS). This migration involved decommissioning over 3,700 servers and retiring or migrating hundreds of applications, enhancing flexibility, scalability, and access to new tools. These efforts suggest a proactive modernization strategy rather than struggles with outdated systems.

3 OPERATIONAL PAIN SIGNALS

No specific mentions of significant supply chain issues, compliance challenges, or scaling problems directly impacting Choice Hotels International, Inc. within the last 12 months were found. While the broader hotel industry has faced supply chain disruptions in previous years, and general supply chain risks are a constant, Choice Hotels' recent reporting focuses on positive operational developments. Their 2025 development performance highlighted "meaningful operational improvements" within their upscale brands.

4 HIRING SIGNALS

Choice Hotels International, Inc. has shown slight increases in its overall employee headcount, with 1,764 employees in 2025, up from 1,754 in 2024, and 1,733 in 2023. However, there was a specific instance of cost pressure, indicated by a WARN notice for 85 layoffs in Maryland in November 2023.

5 TIMING TRIGGERS

A significant timing trigger for Choice Hotels International, Inc. is the recent leadership transition. Patrick Pacious stepped down as President and Chief Executive Officer, with Dominic Dragisich appointed as Interim Chief Executive Officer, effective May 20, 2026. This follows a C-suite refresh in August 2023, which aimed to create a more flexible and agile

organizational structure after the acquisition of Radisson Hotels Americas in August 2022. The integration costs associated with the Radisson Hotels Americas acquisition were noted in the full-year 2023 financial results.

[GAP FILL] Choice Hotels has provided the following full-year 2026 financial guidance:

- Adjusted EBITDA: \$632 million to \$647 million
- Adjusted Diluted EPS: \$6.92 to \$7.14
- Net Income: \$265 million to \$275 million
- Adjusted Net Income: \$320 million to \$330 million
- Global RevPAR Growth: -2% to 1%
- U.S. RevPAR Growth: -2% to 1%
- Global Net System Rooms Growth: Approximately 1%
- Net Capital Outlays for Hotel Development-Related Activities: \$20 million to \$45 million

 COMPETITIVE & VENDORS

Choice Hotels International, Inc. is a prominent player in the hospitality industry, distinguishing itself through a significant focus on technology and innovation to support its global network of franchised hotels.

1

CURRENT TECH VENDORS

Choice Hotels has a "cloud-first mindset" and has completed a total data center migration to Amazon Web Services (AWS), making it the first hotel company to migrate its entire system infrastructure to the cloud in 2024. AWS forms the backbone of its operations, supporting big data, machine learning, and artificial intelligence initiatives. The company also utilizes Finout for rigorous cloud cost management on its AWS infrastructure.

For Customer Relationship Management (CRM), Choice Hotels selected Microsoft Dynamics CRM 4.0 in 2008 to automate and integrate its franchise management operations. More recently, Choice Hotels has relationships with Salesforce to utilize AgentForce for building and deploying AI agents across sales, service, marketing, commerce, and internal operations. Custom development and administration of Salesforce CRM are also in place to align sales and customer activity with financial posting workflows.

In terms of Property Management Systems (PMS), Choice Hotels utilizes its proprietary cloud-based system, choiceADVANTAGE, which is powered by SkyTouch Technology, an independently operated division of Choice Hotels. For international franchisees, Mews is being introduced as an additional cloud-based PMS option, designed to integrate with Choice's proprietary tools. Their proprietary, cloud-based Central Reservation System (CRS) is choiceEDGE, launched in 2018.

For Human Capital Management (HCM), Choice Hotels uses Workday for its HR and payroll needs, a move that enabled them to shift from an on-premise, manual system to a more efficient, strategic platform. Workforce.com is also noted as an HR & Payroll vendor for Choice Hotels franchises.

Regarding Enterprise Resource Planning (ERP), Oracle PeopleSoft ERP (Financials 9.1) was implemented in 2008 as their financial ERP system, centralizing finance and accounting processes. Choice Hotels has also mentioned costs related to a "global ERP system implementation" in its 2025 financial reports, indicating ongoing or recent significant work in this area.

2

KNOWN SI/CONSULTING PARTNERS

Sonoma Partners LLC, a Microsoft Gold Certified Partner, was involved in the deployment of Microsoft Dynamics CRM 4.0 for Choice Hotels. Choice Hotels has also teamed with the Amazon ML Solutions Lab to identify machine learning applications across its businesses. Infiniti HR is a "Qualified Vendor" within Choice Hotels' program, providing HR and payroll solutions specifically tailored for hospitality management to franchisees.

3

PROCUREMENT SIGNALS

Choice Hotels demonstrates an active approach to technology procurement and development. They recently announced new AI-powered solutions including EasyBid, an AI-enhanced group Request for Proposals (RFP) tool. This indicates a focus on leveraging AI to streamline business processes.

Job postings frequently reference key technologies and strategic areas of development. For example, roles like "Software Engineer 2 - Data Domain" highlight their investment in data collection and analysis. The company's technology career page emphasizes innovation in cloud computing, AWS, big data, machine learning/AI, and mobile application development.

Procurement signals also include evaluations of enterprise platforms. Choice Hotels has evaluated Oracle OPERA Cloud PMS for hotel property management and Microsoft Dynamics 365 for Finance and Operations. The company's 2025 financial results also noted costs associated with a global ERP system implementation, signaling recent or ongoing large-scale system upgrades.

4

COMPETITIVE DYNAMICS

Choice Hotels International positions itself as a technology leader within the hospitality industry. The company consistently highlights its "firsts" in adopting various technologies, such as being the first hotel company to migrate its entire system infrastructure to the cloud and launching the industry's first cloud-based property management system (choiceADVANTAGE) and central reservation system (choiceEDGE).

Their strategy focuses on driving value for franchisees through technology, enhancing guest experience, and improving operational efficiency. Recent initiatives, such as the enterprise-wide integration of AI with AWS, are aimed at personalizing the guest journey, optimizing hotel operations, and enhancing distribution channels. The company acquired Radisson assets, and its cloud infrastructure facilitated their digital integration in record time.

While specific market share data against direct competitors like Marriott International, Hilton Worldwide, and Wyndham Hotels & Resorts was not detailed in the provided search results, Choice Hotels' consistent investment in advanced technology, particularly AI and cloud infrastructure, suggests a strategy to gain and maintain a competitive edge by offering innovative tools and efficiencies to its franchisees and an enhanced experience for guests. In 2025, Choice Hotels reported global net rooms growth of 1.2%, with international net rooms growing by 12.5%, indicating expansion. The company reported record profitability in 2025, driven by international rooms growth and leadership in the extended-stay segment.

[GAP FILL] Choice Hotels is implementing an AI-powered, cloud-based strategy for customer relationship management in 2025-2026, in collaboration with Amazon Web Services (AWS) and Salesforce. This includes standardizing on AgentCore (AWS-powered) and AgentForce (Salesforce relationship) for intelligent agents and integrated AI across sales and marketing. They are also leveraging AWS's "Unified Profiles for Travelers and Guests" to create a single view of the customer for enhanced personalization. Additionally, Mews is being introduced as a property management system (PMS) option for international franchisees, integrating with their proprietary choiceEDGE central reservation system to enhance guest loyalty and streamline operations.

SALES PLAY

1. RECOMMENDED PITCH ANGLE

AI Transformation Acceleration Play: Choice Hotels is in the critical implementation phase of enterprise-wide AI deployment, having just announced production-grade AI solutions in May 2026 and currently navigating a CEO transition with interim leadership reaffirming technology investments. They have completed cloud migration to AWS (first major hotel company to do so) and are now scaling from pilots to production AI across the entire hospitality value chain. This creates an immediate window where they need partners who can help operationalize, integrate, and prove ROI on their AgentCore and AgentForce investments while new leadership validates technology spend. Their 2026 guidance shows adjusted EBITDA pressure (only \$632-647M vs \$625.6M in 2025), making demonstrable cost reduction or revenue acceleration from AI critical.

2. CONVERSATION OPENER QUESTIONS

How is the integration between your AWS AgentCore standardization and Salesforce AgentForce deployment progressing since the May announcement, particularly across the 1,754 employees who need to adopt these new AI workflows?

With the global ERP system implementation costs noted in your 2025 financials and the ongoing Mews PMS rollout for international franchisees, how are you ensuring data consistency and integration across your legacy Oracle PeopleSoft ERP, the new platforms, and your proprietary choiceEDGE reservation system?

Given Dominic Dragisich's promotion to Interim CEO in May 2026 after serving as Chief Growth and Strategy Officer, and Anna Scozzafava's role as Chief Data, AI and Technology Officer, how has the leadership transition affected prioritization of your AI roadmap versus the extended-stay expansion that drove your record 2025 profitability?

Your Q1 2026 results showed adjusted EBITDA declining year-over-year despite technology investments in RAISE, CHARLIE, EasyBid, and Choice Hotels Business Direct. How are you measuring ROI on these AI tools to demonstrate value to franchisees and justify continued technology spend under the new interim leadership?

With 12.5% international net rooms growth in 2025 and the July 2025 Canada acquisition creating a fully direct franchising model, what technology infrastructure challenges are you facing in scaling your AWS cloud architecture and AI solutions across nearly 160,000 international rooms while maintaining the sub-second response times your franchisees expect?

3. LANDMINES TO AVOID

Do not question the CEO transition or suggest instability. Patrick Pacious stepping down in May 2026 is recent and sensitive; Dominic Dragisich is interim CEO with a comprehensive search underway. Avoid any implication that leadership uncertainty affects technology strategy, as the company explicitly reaffirmed its full-year 2026 guidance. Frame everything around continuity and supporting their stated direction.

Avoid criticizing their build versus buy decisions or suggesting they should have partnered instead of building proprietary tools like ChoiceMAX, Choice Maps, RAISE, or CHARLIE. Their technology identity is built on being first-to-market innovators who develop competitive advantages internally. Instead, position around enhancing or accelerating what they are already building.

Do not propose rip-and-replace of core systems. They just completed massive cloud migration in 2024 (3,700+ servers decommissioned) and are implementing a global ERP system. Any suggestion of replacing choiceEDGE, choiceADVANTAGE, or their AWS foundation will be dead on arrival. Focus on integration, optimization, and augmentation of existing investments.

Avoid generic hospitality industry talk or comparisons to Marriott, Hilton, or Wyndham without specific differentiation. Choice Hotels explicitly positions as the technology leader who does things first. They care about being the innovator, not the follower. Acknowledge their specific firsts (cloud migration, AI enterprise deployment) rather than treating them as just another hotel company.

4. SUGGESTED NEXT STEP

Request a 45-minute virtual discovery session with both Anna Scozzafava (Chief Data, AI and Technology Officer) and Brian Kirkland (Chief Information Officer) to map their current AI agent deployment architecture, specifically focusing on integration points between AgentCore, AgentForce, the global ERP implementation, and their proprietary revenue management tools

(ChoiceMAX, RAISE). Come prepared with a documented assessment framework that shows how similar hospitality or franchise-model companies have accelerated time-to-value on AWS and Salesforce AI investments, with specific KPIs tied to franchisee adoption rates and measurable cost reduction that would support their 2026 adjusted EBITDA targets of \$632-647M.

5. BEST ENTRY POINT

Anna Scozzafava, Chief Data, AI and Technology Officer. She owns corporate strategy, enterprise transformation, advanced analytics, and technology functions, making her the single decision-maker for any strategic technology initiative. Her background leading the extended-stay brands (which delivered record 2025 performance with 66 new hotels) before moving to technology in August 2023 means she deeply understands franchisee economics and operational ROI, not just technical architecture. With the CEO transition happening in May 2026, she represents continuity in the technology vision and has the strategic mandate to validate that AI investments deliver measurable business outcomes. Brian Kirkland as CIO would be the technical validator, but Scozzafava controls budget, strategy, and enterprise transformation priority, making her the essential first contact for any solution positioned around accelerating their AI deployment or proving ROI on their AWS and Salesforce investments.

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